

Depending on where you live, this budget may be difficult to follow. For example, if you live in Los Angeles, a studio apartment can easily cost \$1,600 per month or more, which would leave you with only \$400 in your needs category to pay for food, insurance, your car, and other expenses. Therefore, on this salary in an expensive city, you would likely need a roommate or two if you wanted to stay within your budget.

Critics of the 50/30/20 rule point out that it is not structured enough. People are often unsure what qualifies as a need versus a want, which is a fair point; a want for one person can be a need for another. Supporters of this approach argue it is much easier to manage than a more detailed budget with ten or more categories; this simplified approach can seem much less daunting to some people. Additionally, this approach may be more helpful to you if you know you are going to overspend in one specific category of your budget. For example, if you know you are going to spend too much on housing, you do not have to feel bad about it as long as you can keep the entire needs category under 50% of your budget by underspending on food and transportation.

More Specific Budgets

If you need more structure than the 50/30/20 rule provides, you are in luck. There are plenty of budgeting strategies and templates out there that you can use to divide your income into more specific categories. I have created the following budget in Table 4.1 as an example of what a more prescriptive budget may look like.